

PRODUCT PROPOSAL

Smart EMI Consolidation Loan

Module 2 of the Smart Financial Recovery Platform — the pilot product this proposal asks you to approve

One loan. One EMI. One due date — a data-led way to help multi-loan customers regain control, and to help lenders retain them.

₹2–3 cr Phase 0–2 investment ask	60–90 days To first validated evidence	~5,000 Illustrative Year-1 active customers*	18% / 10% Illustrative yield / cost of funds*
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**Modeled on an illustrative base of 10 lakh customers, for directional sizing only. To be recalibrated against your organisation's actual portfolio in Phase 0.*

1. The Problem

A meaningful share of any lender's customer base is juggling three, four, sometimes five active loans and cards at once — a personal loan, a credit card, a two-wheeler loan, a BNPL line, a consumer-durable EMI. Individually, each is manageable. Together, they create four compounding costs for the customer:

- Financial — a higher blended interest burden, penal charges, bounce fees, and a credit score that deteriorates with every missed date.
- Operational — five due dates against one salary credit date, and no single view of what is owed to whom.
- Psychological — persistent due-date stress and an inability to plan, because no month's disposable income is predictable.
- Future — loan rejection or a permanently higher cost of borrowing exactly when the customer needs flexibility most.

For the lender, this is invisible until it isn't: stress builds quietly, a missed EMI triggers a delinquency cascade, collections cost rises, provisioning rises, and portfolio quality — and ultimately ROE — falls. Preventing that stress early is not just customer-friendly; it protects the lender's own balance sheet.

2. The Solution — Smart EMI Consolidation Loan

A single consolidation loan that pays off a customer's existing high-cost obligations directly to their creditors — the customer never handles the settlement funds — and replaces four or five EMIs with one EMI, on one due date, aligned to their salary credit date.

- Direct-to-creditor settlement — the one design element that is genuinely differentiated versus standalone fintech advisory apps, which stop at advice and never touch settlement.
- Underwritten on the customer's actual post-consolidation repayment capacity — bureau data plus cash-flow data, not income documents alone.
- Priced to be sustainable for both sides: an illustrative average ticket of ₹1,20,000 over a 30-month tenor.
- Built to keep the customer inside the lender's own relationship, rather than losing them to a fintech intermediary or a competitor's offer.

3. Competitive Landscape

Three players occupy this space today, and none combine trust, data depth, and settlement capability the way this product does:

Dimension	Standalone Fintech Apps (e.g. FREED)	Other Banks / NBFCs	This Product
Data access	Self-reported / bureau only	Own-book data only	Bureau + Account Aggregator + own-book behaviour
Trust with customer	Low — new relationship	Medium — existing lender	High — existing lender, proactive help not a sales pitch
Settlement mechanism	Advisory only — matches customer to a lending partner on a success fee, no direct payoff	Not offered	Direct settlement to each creditor — the customer never handles the funds
Speed to relief	Days to weeks — customer still negotiates with each lender	Not applicable	Single disbursement closes all obligations once creditor confirmations are in
Economics to us	None — this is the competitor's revenue, not ours	None — problem is unaddressed	NII + processing fee + retention value + cross-sell

Grounded in real competitive research, not assumption: no major bank or NBFC currently settles consolidation loans direct-to-creditor — all disburse cash to the borrower. The closest comparable, FREED, is a marketplace that matches stressed borrowers to lending partners on a success fee — it is not a balance-sheet lender and never touches settlement.

4. Why We Will Win

- Existing customer relationships — we reach our own base first, at the lowest CAC and highest trust, before any competitor's cold outreach.
- Proprietary, continuous repayment data — as the actual lender across the loan's life, our data compounds with every pilot cohort; a one-time marketplace match does not.
- Direct settlement capability — the one design element every competitor review confirmed is genuinely uncommon in the market today.
- Account Aggregator integration — a full, consent-based view of the customer's financial picture across lenders, not just our own book.
- Lower acquisition cost — Phase 1 targets our own flagged-stress segment before any paid acquisition, unlike a fintech that must acquire every customer from zero.

This is a testable claim, not yet a quantified moat — Phase 0-2 is partly designed to generate the evidence that either confirms or disproves it.

5. Why This, Why Now

Six structural shifts make this operationally feasible today in a way it wasn't a few years ago:

Shift	What it enables
Account Aggregator	Consent-based access to a customer's full financial picture, not just what one lender can see

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Bureau coverage	CIBIL/CRIF coverage of the salaried segment is now deep enough to flag multi-lender exposure reliably
Digital lending stack	API-based disbursement and direct-settlement rails make real-time consolidation operationally feasible
AI/ML maturity	Stress-detection models are buildable on standard cloud infrastructure (a later-phase capability, not part of the pilot ask)
Competitive pressure	Fintechs are already building adjacent advisory products — the window to lead with an incumbent's trust advantage is now
Regulatory direction	Supervisory attention is moving toward responsible lending and over-indebtedness — this product is aligned with, not against, that direction

6. The Opportunity, Sized

Illustrative funnel against a 10-lakh-customer base — for shape and method, not as a committed forecast:

Stage	Customers	% of prior stage
Existing customer base	10,00,000	—
Holding multiple loans	2,00,000	20%
High-stress, flagged for review	60,000	30%
Policy-eligible for consolidation	25,200	42%
Active consolidated customers, Year 1	~5,000	40% applied → 60% approved → 83% activated

To be replaced with your organisation's actual multi-loan and eligibility figures once Phase 0 data is available — this is illustrative sizing methodology, not a promise of conversion.

7. Unit Economics (Illustrative, Per Loan)

Line	Amount
Gross interest margin	₹4,800
Fee income (processing fee)	₹2,400
Credit cost — base case	(₹1,800)
Operating cost	(₹1,500)
Net contribution per loan — base case	₹3,900

Four revenue levers work together over the life of the relationship: net interest income (recurring), a processing fee (at disbursement), retention value (avoided attrition, realised as lower churn), and a cross-sell tail once the customer is de-stressed.

8. What We Are Actually Asking For

Not a platform build. A tightly scoped, low-risk pilot to prove — or disprove — the core assumption before any further capital is committed:

Approve Phase 0 today: ₹2–3 crore, 60–90 days. This funds customer interviews, historical account analysis, and legal/compliance review only. No product build and no AI spend until real evidence is in. Every later phase is contingent on the previous gate being cleared.

The pilot clears in four gated phases:

Phase	Duration	What happens	Outcome
Phase 0	60–90 days	Customer interviews, historical data analysis, legal review — no product spend	Hypothesis validated & pilot design finalised
Phase 1	3 months	Manual MVP: one portal, rules-based flagging, no ML	MVP live with a controlled process
Phase 2	Ongoing	Internal pilot to ~500 existing customers, ~100 approvals targeted	Evidence of value before a scale decision
Phase 3+	Post-evidence	AI-driven flagging, dynamic pricing, cross-sell — only after Phase 0–2 evidence exists	Scale with confidence, not assumption

This is deliberately structured the way disciplined product launches are — prove the riskiest assumption first, with the smallest possible spend, before committing to build.

9. Implementation Ownership

Execution has a named owner at every layer — not a shared dashboard everyone can point to and no one owns:

Layer	Owner	Responsible for
Sponsor	CEO	Approves phase gates and capital allocation
Platform owner	Chief Product Officer	Product strategy and customer outcomes
Risk & eligibility	Chief Risk Officer	Owns eligibility thresholds, model risk, and the go/no-go bar
Build & tracking	Technology / Operations / FP&A	Build the platform, manage settlement flows, track performance and financials
Customer outcomes	Collections & Customer Success	Outreach, collections excellence, and financial-wellness coaching
Regulatory sign-off	Compliance / Legal	RBI and Account Aggregator consent review before Phase 1 launch

A Board go/no-go decision is recorded at each gate — Phase 0 approval today does not pre-approve Phase 1 or beyond.

10. Risk & Governance

Four go/no-go gates decide whether the pilot proceeds — owned outside the business, not marked by it:

- Customer: 15–20+ interviews independently confirm the problem is real and the offer is welcomed, not experienced as intrusive.
- Risk: manual flagging's false-positive/false-negative rate clears the Chief Risk Officer's bar before any scale-up.
- Financial: unit economics meet the pilot's own pre-agreed thresholds, not a retrofitted justification.
- Operations & Governance: direct settlement is proven end-to-end and named owners exist for every workstream, including a written re-borrowing escalation policy.

Named, dated workstreams close the standard CFO/CRO/regulatory gaps before the phase that needs them — expected-credit-loss modelling and capital-consumption analysis before Phase 2; an explainability and audit-trail framework before any automated flagging is introduced.

11. Exit Strategy — When We Stop

The sharpest question any Board asks is simple: when do we stop? Here is the explicit answer, agreed upfront rather than decided under pressure later:

- Stop after Phase 0 if historical account analysis shows stress is only visible after a payment is already missed, not before — the entire proactive-detection premise depends on an earlier signal existing.
- Stop after Phase 0 if customer interviews show proactive outreach is experienced as surveillance rather than help by a majority of the sample.
- Pause and revisit design after Phase 2 if re-borrowing within 6 months of consolidation exceeds the threshold set in the Board Scorecard.
- Stop before any AI build if manual, rules-based flagging in Phase 1–2 cannot achieve the precision Risk sets as its own minimum bar — automating a flagging logic that doesn't work only automates the error.

Capital at risk if we stop at any gate is capped at that phase's spend — Phase 0 caps exposure at ₹2–3 crore, with no product or AI spend committed until the relevant evidence is in. Interview notes, account analysis, and pilot results are retained as learnings regardless of outcome.

12. Why It's Worth Building

If the pilot clears its gates, the same mechanics compound into a durable flywheel: earlier detection → consolidation → predictable repayment → lower credit cost and lower attrition → higher net interest and fee income → a stronger ROE and, over time, a stronger valuation multiple. That destination case is directional and is explicitly not the basis for today's ask — it is the reason the pilot is worth running, not the number the pilot is priced against.

72% → 86%* Customer retention	3.4% → 2.8%* NPA / GNPA	18% → 34%* Cross-sell rate	17.5% → 18.6%* ROE
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**Illustrative Year-1 → Year-3 destination metrics, directional only, to be recalibrated against actual baseline data. Not the basis for the Phase 0–2 ask above.*

13. Board Decision

Rather than another informational slide, here is the decision itself — the specific approvals needed today, how success will be measured, and the cost of not acting.

Decision Required Today

- Approve ₹2–3 crore for Phase 0.
- Approve a 60–90 day pilot timeline.
- Nominate executive sponsors — CPO, CRO, and a Compliance lead (Section 9).
- Agree to review pilot outcomes against the six gates (Section 10) before any Phase 1 commitment.

Success Metrics

- Customer validation — 15–20+ interviews confirm the problem and the offer is welcomed, not intrusive.
- Approval rate — eligible customers who clear underwriting and accept the offer.
- NPA / credit-quality improvement — versus the do-nothing baseline on the same cohort.
- Unit economics — net contribution per loan meets the Pilot Design thresholds (Section 7).
- Customer retention — consolidated customers retained versus a matched control group.

Risk If We Do Nothing

- Rising delinquencies as multi-loan stress continues to build invisibly, unmeasured and unmanaged.
- Higher collection costs as accounts move further down the delinquency cascade before any intervention.
- Customer attrition to a fintech or competitor that reaches these customers first.
- Lost cross-sell opportunity — a stressed customer is not an addressable base for any future product.

Suggested next step: a 30-minute working session with your product, risk, and FP&A leads to walk through the full model and a clickable product prototype, and agree the specific data points to validate against your own portfolio in Phase 0.

All figures in this proposal are illustrative and directional, built to demonstrate the shape of the opportunity and the discipline of the approach — they are not drawn from any specific lender's confidential portfolio data, and are intended to be recalibrated against your organisation's actual numbers in Phase 0.

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